

How Many Jobs Do Data Centers Create? It Depends

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How Many Jobs Do Data Centers Create? It Depends Data centers create jobs, but how many? We examine the variables affecting employment numbers and why the impact varies dramatically across different facilities. Data centers have frequently been criticized for creating few permanent jobs in relation to their footprint – and this criticism might not be entirely unfounded. In general, data centers generate relatively few jobs compared to the cost of building and operating a typical facility or the amount of land it occupies. On the other hand, the number of jobs resulting from data centers can vary widely depending on factors like facility type and location. It's a little narrow-minded to conclude that data centers are always total busts when it comes to job creation. To understand why, let's look at the extent to which data centers do or don't spawn new employment opportunities. How Do Data Centers Create Jobs? Data centers can generate jobs in two primary ways: - Temporary, contracted employment opportunities during data center construction. A large facility might keep thousands of construction workers busy, at least for the year or two that it takes to build. - Permanent jobs for staff inside data centers. Once a data center is up and running, it usually requires some on-site technicians to handle tasks like setting up and managing IT equipment. Typically, however, the total data center staff number is only several dozen. So, while data centers may create many jobs in the short term, most result in relatively few permanent jobs – hence why critics tend to highlight the generous tax abatements that data centers often receive. They tend to argue that local communities receive few economic benefits from becoming home to a new data center. Job creation from data centers extends beyond direct employment, supporting broader economic growth through digital infrastructure for countless businesses. Image: Alamy Variables in Data Center Job Creation However, it would be inaccurate to conclude that meaningful employment opportunities spawned by data centers are always negligible. The actual relationship between data centers and job creation can vary widely depending on factors like the following. Data Center Density Areas that are home to a large and growing number of data centers stand to benefit more from data center job creation. In places where new data centers are always going up, workers employed in constructing facilities are more likely to find ongoing employment opportunities. In contrast, if a region hosts just one data center, the temporary jobs created by building the facility will disappear forever once it's up and running. Dedicated vs. Colocation Data Centers In general, a dedicated data center owned and used by just one company will generate fewer permanent jobs than a shared colocation facility. In the latter type of data center, multiple companies can deploy servers, and each of those companies will need a way to manage its hardware. Hiring local technicians is one way to meet this challenge. In addition, even if a company that rents space in a colocation facility outsources equipment

management to a third-party provider, it's still helping to support jobs at the provider. Bare-Metal Data Centers Data centers that are home to a large number of bare-metal workloads may also contribute to more permanent job growth. Bare-metal servers are more likely to require technicians to be physically present to maintain equipment, deploy applications and so on. Modern data center automation solutions make it possible to perform many tasks remotely or automatically, even when working with bare-metal hardware. Still, having "boots on the ground" tends to be more important when deploying applications on bare metal than when working with software-defined virtual infrastructure. Maintenance Needs The age and complexity of the physical infrastructure inside a data center play a role in how many permanent jobs it creates. For example, a facility with dated HVAC systems may require more technicians on-site to maintain components and address failures, although this may produce only a handful of additional jobs relative to a facility that requires minimal maintenance. Data Centers Do Create Jobs – Just Not Always at Scale It would be wrong to say that data centers are massive engines of job creation. The typical data center results in an almost negligible number of permanent jobs relative to its scale. But it's also wrong to conclude that data centers never create a meaningful number of jobs. Under the right circumstances, data centers can contribute a fair number of employment opportunities to local communities. A single facility won't put thousands of people to work forever, but ongoing data center construction, along with data centers that require especially high numbers of staff, can result in large-scale ongoing employment. Importantly, while this article focused on direct employment within data centers, we should also consider their broader economic impact. Data centers power countless businesses, organizations, and essential services. From this perspective, data centers support jobs across the entire economy – from small local businesses to major enterprises – by providing the digital infrastructure they need to operate in today's world.